

REGIME ENTRY CHECKLIST

Inflation / rate regime — pre-committed buy triggers. Anchors as of June 10, 2026 (S&P ≈7,400, CAPE ≈41, bills ≈4.0%, 10-yr ≈4.7%, VIX ≈20, CPI 4.2% / core 2.9%). Recompute index levels as the 10-yr earnings average rises.

INSTRUMENT KEY:

SELL VOL (harvest puts)

BUY EQUITY (deploy)

BUY CALLS (optional)

NO TRADE

TEST 0 — KILL SWITCH (check FIRST, every time)

NO TRADE — regime check only

Is the inflation/rate regime still in force? If it has flipped, this entire playbook is wrong.

■ In a selloff, stocks **and** bonds fall **together** → regime ON. If bonds **rally** while stocks drop → deflation scare, **STOP**.

■ Core CPI still hot month-over-month (watch: last print only +0.2% MoM — softening is the early warning)

■ Fed holding or hiking, not signaling cuts (now: holding; hikes priced more likely than cuts)

Rule: if all three flip (bonds bid + core MoM ≈0 + Fed pivots to cuts) the regime is changing — pause, want duration not commodities.

THE THREE GREEN LIGHTS (count how many are open)

Gate 1 — VALUATION (cheap, not just down?)

BUY EQUITY

■ First nibble: CAPE ≈32 → **S&P ≈5,775 (–22%)**. 'Back to average' = not cheap yet.

■ Add: CAPE ≈28 → **S&P ≈5,050 (–32%)**. Range bottom.

■ Back up the truck: CAPE <24 → **S&P <4,330 (–41%)**. Genuinely cheap zone.

Gate 2 — RELATIVE VALUE (do stocks finally beat cash?)

BUY EQUITY

■ Equity earnings yield (1/CAPE) minus 3-mo T-bill yield ≥ **+1%**.

Now: 2.4% – 4.0% = **–1.6% (FAIL)** — paid more to wait in cash). Opens near CAPE ≈20 if bills hold 4%; sooner if bills fall.

Gate 3 — CAPITULATION + SUPPORT (do NOT buy the flush itself)

FLUSH → SELL VOL

SUPPORT → BUY EQUITY

■ **FLUSH:** VIX into the 30s with the futures curve in backwardation — *this is where you work the puts*.

■ % of S&P stocks above 200-day MA < 20%, **then turning back up**

■ High-yield credit spreads blow out, **then peak and start tightening**

■ **SUPPORT confirmed (your rule):** index stops making lower lows — retest of the low holds, OR reclaim of the 20/50-day MA, OR VIX peaks and rolls. **Only now do you buy equity.**

THE COMBINATION RULE (this is 'when')

DEPLOY EQUITY

1 gate open = noise, do nothing. **2 gates aligned** = start ONE tranche. **3 gates aligned** = fat pitch, deploy with size.

Always tranche across the Gate-1 levels. Never one all-in entry. You will not catch the bottom — accepted.

Optional leverage: only **after support confirms**, long **calls / call spreads** on the rotation vehicle press the bounce with capped risk — but they re-add the expiry clock. Skip if unsure.

WHERE THE MONEY GOES (route by which gate fired)

• **Capitulation + support** → beaten-down **quality** + **equal-weight rotation**, bought into the flush when correlations hit 1.

• **Regime-ON + sticky inflation** → **commodities / energy**, bought on pullbacks within the uptrend (never on breakouts).

• **Always-on while waiting** → short **T-bills (–4% carry)** + **TIPS**. This is the cash, earning.

THE BRIDGE & THE DISCIPLINE

SELL VOL → FUND EQUITY

• **QQQ puts = the funding bridge.** The Gate-3 flush that says 'buy' is the same event that maxes the puts. Sell vol into the panic; the proceeds are the dry powder you deploy into equity at support.

• **Do NOT buy puts here.** By the time Gate 3 flashes, vol is expensive — you are a **seller** of it, not a buyer.

• **Debt first.** Retiring 6%+ debt beats a 4% bill, risk-free and tax-free — highest risk-adjusted return on the menu.

• **'Wrong to wait' line:** pre-set a level where, if it just grinds up and no gate opens, you'd rather own it than sit. Write it: _____.

• **Early = wrong in P&L.** Test 0 is the guard. Do not deploy the inflation thesis into a tape that already abandoned it.

THE HONEST GAP (accepted)

These tests keep you from buying too high and get you into the **lower third** of a real bear move. They will **not** get the bottom tick, and in a structural-bid grind the gates may open slowly and only partway. That is the price of not having to predict the crash.

Personal decision framework, not investment advice. Built from your own thesis. Anchors dated June 10, 2026 — re-derive index levels as earnings grow and bill yields move.